Canadian Pacific Kansas City Limited (CP)

The Three-Nation Network Is Beginning to Deliver

CP, TSX / NYSE | Industrials | Rail Transportation

NEUTRAL

Price (22 Aug 2024):	C$109.43
Price Target (Dec-25):	C$123.00

INVESTMENT THESIS

CPKC Q2 revenue reached C$3.6bn and core adjusted combined EPS increased 27% to C$1.05. Revenue ton-miles rose 6%, while the core adjusted combined operating ratio improved 280bp to 61.8%.

The combination creates the only single-line railway connecting Canada, the United States and Mexico. Early synergy and service evidence is encouraging, but integration, leverage and industrial demand still determine the pace of value creation.

Our C$123 December 2025 target applies 26.2x FY25E core EPS of C$4.70. A quality premium is warranted for the unique network; at the current price, much of the improvement is already reflected.

- Q2 revenue was C$3.6bn, reported EPS C$0.97 and core adjusted combined EPS C$1.05.
- RTMs increased 6% and the core adjusted combined operating ratio improved to 61.8%, with safety metrics also improving.
- Our C$123 December 2025 target implies 12.4% price upside. Estimated dividends add 1.2%, for approximately 13.6% total return.

COMPANY OVERVIEW

CPKC operates a roughly 20,000-mile rail network across Canada, the United States and Mexico. It serves bulk, merchandise and intermodal customers and links major ports. Physical network density, border access and single-line routes form the moat.

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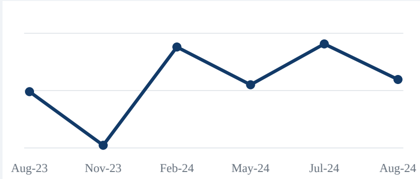
Independent research exercise

PRICE PERFORMANCE



Month-end closes; final point 22 Aug 2024.

COMPANY DATA

Shares outstanding	~933mm
Market cap	~C$102bn
52-week range	~C$94-123
Quarterly dividend	C$0.19
Q2 revenue	C$3.60bn
Q2 core EPS	C$1.05
Route network	~20,000 miles
Latest results	Q2 2024

KEY ESTIMATES

C$mm unless noted	FY22A	FY23A	FY24E	FY25E
PF combined rev.	13,217	13,909	14,900	15,800
Core adjusted EPS	3.77	3.84	4.15	4.70
Core adjusted OR	61.7%	62.0%	61.8%	60.5%
CFO - cash capex	2,585	1,638	2,700	3,100
Capital spend	1,557	2,499	2,750	2,800

Q2 2024: REVENUE SYNERGIES AND OPERATIONS MOVED TOGETHER

The quarter showed that network growth and operating discipline can coexist. Volume increased, the core operating ratio improved and safety measures strengthened. Reported EPS remained affected by acquisition accounting, so combined adjusted measures are the better operating view.

Metric	Q2/23	Q1/24	Q2/24	Y/Y	Read-through
Revenue	~C$3.2bn	~C$3.5bn	C$3.6bn	Up	Synergy and price
RTM growth	Combined base	+1%	+6%	+6%	Volume momentum
Reported OR	70.3%	67.4%	64.8%	-550bp	Integration
Core adjusted OR	64.6%	64.0%	61.8%	-280bp	Productivity
Reported EPS	C$1.42	C$0.83	C$0.97	Down	Prior gain
Core adjusted EPS	C$0.83	C$0.93	C$1.05	+27%	Clean growth
Train accident rate	0.80	0.89	0.77	Better	Safety

FORECAST AND EARNINGS FRAMEWORK

We model high-single-digit core EPS growth in FY24E and low-double-digit growth in FY25E as revenue synergies, productivity and a lower effective tax burden compound. The forecast assumes no recession and gradual deleveraging rather than aggressive buybacks.

C$mm unless noted	FY22A	FY23A	FY24E	FY25E	FY26E
Revenue (PF combined)	13,217	13,909	14,900	15,800	16,700
Core op. income (derived)	5,062	5,285	5,692	6,241	6,764
Core adjusted OR	61.7%	62.0%	61.8%	60.5%	59.5%
Core adjusted EPS	3.77	3.84	4.15	4.70	5.25
EPS growth	-	2%	8%	13%	12%
CFO less cash capex	2,585	1,638	2,700	3,100	3,500
Capital expenditures	1,557	2,499	2,750	2,800	2,900
Diluted shares (mm)	932.9	933.7	933	930	925

THE EARNINGS BRIDGE IS OPERATIONAL, NOT FINANCIAL ENGINEERING

The investment case is strongest when volume, service and operating efficiency improve together. Buybacks are not required for our forecast. The key watch items are cross-border customer conversions, terminal dwell, train speed and leverage.

GROWTH DRIVERS: NETWORK SYNERGY, SERVICE AND MEXICO

The merger created routes that cannot be replicated economically. CPKC must convert fewer interchanges and shorter transit times into durable share gains while maintaining safety and network fluidity.

Driver	FY23A	Q2/24	FY25E	FY26E	Investment implication
RTM growth	Combined base	+6%	4%-5%	3%-4%	Revenue growth
Core OR	62.0%	61.8%	60.5%	59.5%	Margin expansion
Cross-border	Early	New wins	Scale	Scale	Synergy
Automotive	Growing	Strong	Strong	Moderate	Mexico exposure
Safety	Integration	Improved	Sustain	Sustain	Service quality
Leverage	Elevated	Improving	Improve	Improve	Capital flexibility

NETWORK SYNERGY

Single-line Canada-Mexico service can reduce handoffs and transit time. Revenue synergy requires verified customer conversions and dependable execution, not only a unique map.

OPERATIONAL PRODUCTIVITY

Lower operating ratio and improving safety support the model. Labour, fuel and weather can create quarterly volatility even when underlying service improves.

LEVERAGE AND REGULATION

Merger debt should decline as free cash flow grows. Regulatory, labour and trade-policy developments can influence both costs and the strategic value of Mexican routes.

VALUATION AND PRICE TARGET

Our December 2025 target is C$123. The primary framework applies 26.2x to our FY25E core EPS of C$4.70. A cash-flow model and peer comparison provide cross-checks. The multiple reflects the company's quality and growth profile while retaining a discount for the principal risks identified in this report.

Method	Weight	Input	Output	Rationale
Forward P/E	50%	26.2x FY25E C$4.70	C$123	Unique network premium
Cash-flow model	30%	8% WACC; normalized OR	C$118	Cash conversion
Peer check	20%	North American rails	C$130	Relative valuation
Weighted target	100%		C$123	Rounded target

VALUATION SENSITIVITY

FY25E EPS / P-E	21.0x	23.0x	25.0x	27.0x	29.0x
C$4.00	C$84	C$92	C$100	C$108	C$116
C$4.46	C$94	C$103	C$112	C$121	C$129
C$4.70	C$99	C$108	C$118	C$127	C$136
C$4.94	C$104	C$114	C$123	C$133	C$143

At C$109.43, the shares trade at 23.3x our FY25E core EPS. The table is a mechanical sensitivity, not a forecast, and does not include dividends or balance-sheet changes.

SCENARIO ANALYSIS

Scenario	Probability	Key assumptions	Value
Bull	25%	Synergies exceed plan; OR <59%; strong Mexico	C$150
Base	55%	Orderly integration; low-double-digit EPS growth	C$123
Bear	20%	Freight downturn; integration slips; OR stalls	C$84

The probability-weighted scenario value is C$122. Our C$123 target implies 12.4% price appreciation and approximately 13.6% total return including estimated dividends through December 2025. We rate CP Neutral.

CATALYSTS AND RISKS TO OUR RATING

UPSIDE CATALYSTS

- Cross-border automotive and intermodal wins exceed plan.
- Operating ratio improves below 60% sooner.
- Safety and service support pricing and share gains.
- Free cash flow reduces leverage faster.

DOWNSIDE RISKS

- North American freight demand weakens.
- Mexico trade or security disruption affects routes.
- Labour, safety or weather events impair service.
- Integration savings arrive slower than expected.

METHODOLOGY AND SOURCE NOTES

1. CPKC 2023 Form 10-K filed 27 February 2024: https://www.sec.gov/Archives/edgar/data/16875/000001687524000009/cp-20231231.htm

2. CPKC Q1 and Q2 2024 results dated 24 April and 30 July 2024: https://investor.cpkcr.com/news/press-release-details/2024/CPKC-reports-first-quarter-results-celebrating-one-year-as-a-combined-company/default.aspx and https://investor.cpkcr.com/news/press-release-details/2024/CPKCs-strong-second-quarter-results-demonstrate-advantages-of-North-American-network-carrying-momentum-into-second-half-of-2024/default.aspx

3. Market data: CP raw TSX close of C$109.43 on 22 August 2024: https://query2.finance.yahoo.com/v8/finance/chart/CP.TO?period1=1692748800&period2=1724371200&interval=1d&events=history

4. Core operating income is author-derived from pro-forma combined revenue and core adjusted combined OR. CFO less cash capex is author-defined as reported cash from operations less cash property additions, including Meridian additions in FY23. FY24E was rebuilt from H1 2024 results; all forecasts, scenarios, rating and target use only information public by the cutoff.

ANALYST AND MODEL DISCLOSURE

Strict point-in-time cutoff: 23 August 2024. Every factual input and reported result was public by that date. 'A' denotes actual and 'E' denotes the author's contemporaneous estimate; estimates, scenarios, rating and target do not use subsequent actual results or events. Prepared for Akul Veauli as an independent equity-research exercise. It is not affiliated with or endorsed by Canadian Pacific Kansas City, CI Financial, CI Global Asset Management, any dealer or any employer. Non-GAAP measures should be read with company reconciliations.

RATING DEFINITIONS

Rating	Mechanical definition
Overweight	Expected total return above 15% over the stated target horizon.
Neutral	Expected total return between 0% and 15%.
Underweight	Expected total return below 0%.

Expected total return equals price return to the stated target plus estimated dividends over the target horizon. This document is informational and educational only, is not an offer or recommendation, and does not consider any recipient's objectives, financial circumstances, liquidity needs or risk tolerance.